NVIDIA CORPORATION (NVDA)

NVDA F2Q25: Chips Don't Lie - Another Beat and Raise

August 28, 2024

The Wolfe Byte

NVDA made changes to Blackwell to improve yields but commentary suggests no meaningful impact and our estimates rise post the report. Our bullish thesis is underpinned by strong content gains in CY25 as Blackwell ramps, and reasonable valuation despite the stock's run.

NVDA posted another beat and raise report. While the magnitude of the beat was a bit less than in prior quarters, management remained steadfast that demand continues to exceed supply. Management also acknowledged that they made changes to the Blackwell mask to improve yields, but still maintained that it would enter production in 4Q with $billions of revenue in the quarter. We think management's transparency will be welcomed by investors, and that commentary suggests no meaningful impact from the production changes - our estimates go up after this report. Our bullish thesis on the stock is underpinned by what we believe will be strong content gains in CY25 as Blackwell ramps. Our CY25 estimates reflect a 53% y/y increase in datacenter revenue which is mostly driven by content, leaving room for upside if volume increases as well. With the stock just 30x our FY26 EPS and given the potential for upside, we remain bullish despite the stock's extraordinary run.

Beat & raise. NVDA reported $30bn rev (+15% q/q), ~5% above Street, largely driven by better than expected datacenter and gaming revenue. GM declined as expected, with NVDA reporting $0.68 EPS vs. Street $0.65. OctQ rev guided to $32.5bn (+8% q/q), ~2.5% above the Street, while GM is expected to decline and opex increase q/q, driving implied EPS of $0.73 vs. Street $0.71.

Blackwell ramp expected in F4Q, into F26. While NVDA acknowledged that a change to the Blackwell GPU mask was initiated in F2Q to improve production yields, the company still expects strong contribution from Blackwell this year, with billions $ revenue contribution in F4Q. NVDA's outlook comprehends continued contribution from Hopper (H200), which is expected to grow throughout 2H24, as well as the Blackwell ramp in F4Q.

ESTIMATES			JANUARY FYE
($)	**2024A**	**2025E**	**2026E**
Adj-Dil EPS FY	1.30 A	2.82 E	4.11 E
Prior	-	2.72 E	4.03 E
Cons.	-	2.73 E	3.81 E
P/E	96.9x	44.6x	30.6x

Source: Company Documents, Wolfe Research, FactSet
Numbers may not add up due to rounding; Fiscal Year Ends January

Rating:
Outperform
Price:
$125.61
Price Target:
$150
% Upside:
19.4%

View NVDA Model
View Comp Table

Company Information

52-Week Range	$40 - $136
Market Cap. (MM)	$3,090,006
Enterprise Value (M)	$3,106,232
Shares Out. (MM)	24,600.0
Avg. Value Traded (MM)	$38,684.92
SI% of Float	1.2%
FCF Yield	2.2%
Days to Cover	0.9
Dividend Yield	0.0%

Price Performance

	YTD	LTM
NVDA	159%	179%
SOX	23%	47%
S&P 500	18%	28%

Source: FactSet

Priced as of 08/28/24

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Investment Conclusion

Reiterate Outperform rating, $150 price target. Our $150 price target is based on 36.5x our CY25 EPS of $4.11, largely inline with NVDA's ~37x avg multiple over the past five years. Our positive view is based on our confidence in NVDA's earnings momentum as well as the long term opportunities from its dominance in AI. Our bullish thesis is underpinned by what we believe will be strong content gains in CY25 as Blackwell ramps. We continue to view NVDA as one of the best ideas in semis.

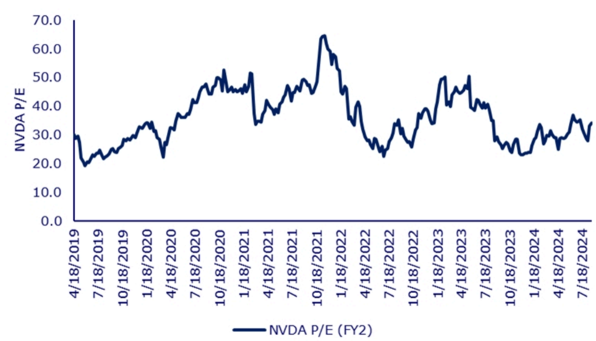
Valuation: NVDA is trading at ~30.6x our new CY25 EPS of ~$4.11, ~17% below its 5-year average P/E of ~37x.

Stock performance. NVDA has outperformed most indices and stocks, with the stock up +168% LTM vs. SOX's +43% and S&P's +26%. By comparison, other AI-exposed names such as AMD and AVGO are up +43% and +83%, respectively.

Relative Performance (1-year)

P/E FY2

	AMD	INTC	NVDA	Avg.	S&P 500
Current	26.9	16.9	33.0	25.6	20.0
1-Yr Avg	30.6	19.3	28.7	26.2	18.9
3-Yr Avg	26.8	16.1	36.2	26.4	18.2
5-yr Avg	31.1	14.4	36.9	27.4	18.5
Peak	52.7	26.4	64.5	--	22.7
Date	*Dec-20*	*Dec-23*	*Nov-21*	--	*Jan-21*
Trough	13.2	9.3	19.1	--	12.2
Date	*Sep-22*	*Mar-20*	*May-19*	--	*Mar-20*



Source: Factset, Wolfe Research

Where Could We Be Wrong?

We think the main risk to NVDA is expectations, given how far the stock has moved. The biggest risk to NVDA's AI dominance would be custom internal silicon from hyperscalers.

NVDA F2Q/F3Q Results vs Expectations

3-months ending ($ in mm)	Apr-24 Reported	Jul-24A Reported	Jul-24A Wolfe	Jul-24A Street	Jul-24A Guide	Oct-24E New	Oct-24E Wolfe	Oct-24E Street	Oct-24E Guide
Total Revenue	$26,044.0	$30,040.0	$28,000.1	$28,736.9	$28bn ± $560mn	$32,500.0	$31,235.2	$31,714.4	$32.5bn ± $650mn
% q/q	*17.8%*	*15.3%*	*7.5%*	*10.3%*		*8.2%*	*11.6%*	*10.4%*	
% y/y	*262.1%*	*122.4%*	*107.3%*	*112.8%*		*79.4%*	*72.4%*	*75.0%*	
Gross Profit	$20,560.0	$22,729.0	$21,140.0	$21,752.9		$24,375.0	$23,426.4	$23,944.5	
GM %	78.9%	75.7%	75.5%	75.7%	75.5% ± 0.50%	75.0%	75.0%	75.5%	75.0% ± 0.50%
OpEx	$2,501.0	$2,792.0	$2,800.0	$2,803.6	~$2.8bn	$3,000.0	$2,875.0	$2,973.3	~$3.0bn
Op Profit	$18,059.0	$19,937.0	$18,340.0	$18,949.3		$21,375.0	$20,551.4	$20,971.2	
OpM %	69.3%	66.4%	65.5%	65.9%		65.8%	65.8%	66.1%	
Net Income	$15,238.0	$16,952.0	$15,471.2	$15,992.3	Other Inc. ~$300mn	$18,031.7	$17,265.2	$17,672.9	Other Inc. ~$350mn
NM %	58.5%	56.4%	55.3%	52.4%	TR ~17.0% ± 1%	55.5%	55.3%	55.7%	TR ~17.0% ± 1%
EPS	$0.61	$0.68	$0.62	$0.65		$0.73	$0.69	$0.71	

Source: Company Filings, Wolfe Research, Factset

F2Q/F3Q Segments Results vs Expectations

F2Q24 Segments	Reported	q/q	y/y	Wolfe	Street	vs Street	Comments
Gaming	$2,880	8.8%	15.8%	$2,910	$2,708	6.3%	RTX 40 shipment growth, back to school demand
Automotive	$346	5.2%	36.8%	$341	$345	0.3%	Ramp of AI cockpit solutions & self-driving platforms
ProViz	$454	6.3%	19.8%	$493	$450	0.8%	-
Data Center	$26,272	16.4%	154.5%	$24,179	$25,270	4.0%	H200 shipment growth
OEM & IP	$88	12.8%	33.3%	$78	$78	13.4%	-
Total Revenue	$30,040	15.3%	122.4%	$28,000	$28,737	4.5%	

F3Q24 Segments	New	q/q	y/y	Wolfe	Street	vs Street	Comments
Gaming	$3,118	8.3%	9.2%	$3,218	$2,950	5.7%	Gaming Ecosystem continues to grow
Automotive	$349	1.0%	33.8%	$339	$367	-4.8%	Continued AI cockpit & ADAS solution adoption
ProViz	$499	10.0%	20.0%	$499	$477	4.7%	Driven by AI and graphics use cases
Data Center	$28,455	8.3%	96.1%	$27,101	$28,354	0.4%	Continued ramp of H200 & AI compute/networking solutions
OEM & IP	$78	-11.4%	6.8%	$78	$79	-1.1%	
Total Revenue	$32,500	8.2%	79.4%	$31,235	$31,714	2.5%	

Source: Company Filings, Wolfe Research, Factset

Hopper demand remains strong; Blackwell ramp on track despite mask change. F2Q datacenter revenue of $26.3bn (+16% q/q, +155% y/y) was 4% above street expectations. Compute revenue was up 2.5x and networking up >2x y/y, with strong contribution from all major customer segments. H200 began ramping in F2Q, with broad adoption from customers. NVDA noted that CSPs represented ~45% of DC revenue with >50% coming from consumer internet and enterprise companies. While China DC revenue grew strongly q/q, the company noted that China remains well below typical historical contribution levels (~20%). Sovereign AI continues to be a strong contributor, and NVDA reiterated that it expects it to be a low-DD $bn contributor to revenue this year, while Enterprise adoption continues to be strong as F100 customers adopt AI powered chatbots, copilots, and other AI agents. Finally, NVDA noted that its Software offerings are now expected to reach ~$2bn run rate exiting the year. In Networking, Nvidia highlighted that revenue from its Ethernet Spectrum-X offering doubled q/q in F2Q, in part attributable to the largest AI GPU cluster in the world from x.AI; the company reiterated that Spectrum-X is on track to be a multi-billion dollar product line within a year.

While Nvidia acknowledged that a change to the Blackwell GPU mask was initiated in F2Q to improve production yields, the company still expects a strong contribution from Blackwell GPUs this year, with billions $ contribution from Blackwell systems in F4Q. Nvidia emphasized that the change to the GPU mask is already complete, noting that no other functional changes were necessary. Blackwell is currently widely sampling, with shipments scheduled to ramp in F4Q and continue in FY26. While the company noted that supply has improved, demand remains well above supply and NVDA expects this supply-demand imbalance to continue into next year. As a result, NVDA F3Q outlook comprehends continued contribution from Hopper (H200) growth, which is expected to grow throughout 2H FY24, as well as the Blackwell ramp, which is expected in 4Q.

Other segments. NVDA noted that Gaming channel inventory remained healthy, and saw ~9% rev growth q/q to $2.9bn, 6% above Street expectations, on improved back-to-school demand and increased sales of GeForce RTX 40 series GPUs, while ProViz grew based on continued ramp of Ada architecture GPU workstations. Once again, Auto revenue growth was driven by the ramp of AI cockpit solutions and self-driving platforms with global OEM customers.

GM headwinds, as expected. GM was down sequentially due to a higher mix of new products within datacenter, as well as inventory provisions for low-yielding Blackwell material. NVDA reiterated its prior guidance for mid-70% GM for FY25, driven predominantly be the continued shift in its datacenter segment to new products, a trend which the company expects to persist into F4Q. NVDA also raised full year OpEx guide from the low-40s % increase y/y to mid-to-upper-40% y/y increase. We view NVDA's opex favorably, since NVDA is the only company able to spend on AI at this level (including the hyperscalers themselves), therefore deepening their competitive moat and making it more difficult for hyperscalers to keep up with internal solutions.

Raising estimates. We have raised our FY25 Rev/EPS estimates to $125.3bn/$2.82, reflecting 106% y/y revenue growth, from $120.5bn/$2.72 previously. Our FY26 rev/EPS estimates increase to $184.6n/$4.11, reflecting 47% y/y revenue growth, from $177bn/$4.03 previously.

NVDA Income Statement

3-months ending *($ in mm)*	Jan-23 FY23A	Apr-23 F1Q24A	Jul-23 F2Q24A	Oct-23 F3Q24A	Jan-24 F4Q24A	Jan-24 FY24A	Apr-24 F1Q25A	Jul-24 F2Q25A	Oct-24 F3Q25E	Jan-25 F4Q25E	Jan-25 FY25E	Apr-25 F1Q26E	Jul-25 F2Q26E	Oct-25 F3Q26E	Jan-26 F4Q26E	Jan-26 FY26E
Total Revenue	**$26,974.0**	**$7,192.0**	**$13,507.0**	**$18,120.0**	**$22,103.0**	**$60,922.0**	**$26,044.0**	**$30,040.0**	**$32,500.0**	**$36,729.7**	**$125,313.7**	**$39,740.9**	**$43,670.9**	**$47,953.0**	**$53,229.9**	**$184,594.7**
q/q		*18.9%*	*87.8%*	*34.2%*	*22.0%*		*17.8%*	*15.3%*	*8.2%*	*13.0%*		*8.2%*	*9.9%*	*9.8%*	*11.0%*	
y/y	0.2%	*-13.2%*	*101.5%*	*205.5%*	*265.3%*	125.9%	*262.1%*	*122.4%*	*79.4%*	*66.2%*	105.7%	*52.6%*	*45.4%*	*47.5%*	*44.9%*	47.3%
Cost of Goods Sold (Non-GAAP)	$11,009.0	$2,390.0	$3,893.0	$4,537.0	$5,144.0	$15,964.0	$5,484.0	$7,311.0	$8,125.0	$9,917.0	$30,837.0	$10,730.0	$11,791.1	$12,707.6	$13,839.8	$49,068.5
Gross Profit (Non-GAAP)	**$15,965.0**	**$4,802.0**	**$9,614.0**	**$13,583.0**	**$16,959.0**	**$44,958.0**	**$20,560.0**	**$22,729.0**	**$24,375.0**	**$26,812.7**	**$94,476.7**	**$29,010.9**	**$31,879.8**	**$35,245.5**	**$39,390.1**	**$135,526.2**
% GM	*59.2%*	*66.8%*	*71.2%*	*75.0%*	*76.7%*	*73.8%*	*78.9%*	*75.7%*	*75.0%*	*73.0%*	*75.4%*	*73.0%*	*73.0%*	*73.5%*	*74.0%*	*73.4%*
R&D (Non-GAAP)	**$5,352.0**	**$1,339.0**	**$1,428.0**	**$1,581.0**	**$1,747.0**	**$6,095.0**	**$1,981.0**	**$2,241.0**	**$2,371.0**	**$2,521.0**	**$9,114.0**	**$2,571.0**	**$2,621.0**	**$2,671.0**	**$2,721.0**	**$10,584.0**
% revenue	*19.8%*	*18.6%*	*10.6%*	*8.7%*	*7.9%*	*10.0%*	*7.6%*	*7.5%*	*7.3%*	*6.9%*	*7.3%*	*6.5%*	*6.0%*	*5.6%*	*5.1%*	*5.7%*
SG&A (Non-GAAP)	**$1,578.0**	**$407.0**	**$405.0**	**$445.0**	**$463.0**	**$1,720.0**	**$521.0**	**$551.0**	**$629.0**	**$704.0**	**$2,405.0**	**$719.0**	**$734.0**	**$749.0**	**$764.0**	**$2,966.0**
% revenue	*5.9%*	*5.7%*	*3.0%*	*2.5%*	*2.1%*	*2.8%*	*2.0%*	*1.8%*	*1.9%*	*1.9%*	*1.9%*	*1.8%*	*1.7%*	*1.6%*	*1.4%*	*1.6%*
Total Operating Expenses (Non-GAAP)	**$6,921.0**	**$1,750.0**	**$1,838.0**	**$2,026.0**	**$2,210.0**	**$7,820.0**	**$2,501.0**	**$2,792.0**	**$3,000.0**	**$3,225.0**	**$11,518.0**	**$3,290.0**	**$3,355.0**	**$3,420.0**	**$3,485.0**	**$13,550.0**
% revenue	*25.7%*	*24.3%*	*13.6%*	*11.2%*	*10.0%*	*12.8%*	*9.6%*	*9.3%*	*9.2%*	*8.8%*	*9.2%*	*8.3%*	*7.7%*	*7.1%*	*6.5%*	*7.3%*
q/q		*-1.4%*	*5.0%*	*10.2%*	*9.1%*		*13.2%*	*11.6%*	*7.4%*	*7.5%*		*2.0%*	*2.0%*	*1.9%*	*1.9%*	
y/y	*31.2%*	*8.8%*	*5.1%*	*13.0%*	*24.5%*	*13%*	*42.9%*	*51.9%*	*48.1%*	*45.9%*	*47%*	*31.5%*	*20.2%*	*14.0%*	*8.1%*	*17.6%*
Operating Income (Non-GAAP)	**$9,040.0**	**$3,052.0**	**$7,776.0**	**$11,557.0**	**$14,749.0**	**$37,134.0**	**$18,059.0**	**$19,937.0**	**$21,375.0**	**$23,587.7**	**$82,958.7**	**$25,720.9**	**$28,524.8**	**$31,825.5**	**$35,905.1**	**$121,976.2**
% OM	*33.5%*	*42.4%*	*57.6%*	*63.8%*	*66.7%*	*61.0%*	*69.3%*	*66.4%*	*65.8%*	*64.2%*	*66.2%*	*64.7%*	*65.3%*	*66.4%*	*67.5%*	*66.1%*
Other Income (Non-GAAP)	**$6.0**	**$84.0**	**$120.0**	**$175.0**	**$232.0**	**$611.0**	**$302.0**	**$380.0**	**$350.0**	**$350.0**	**$1,382.0**	**$350.0**	**$350.0**	**$350.0**	**$350.0**	**$1,400.0**
Pre-Tax Income (Non-GAAP)	$9,046.0	$3,136.0	$7,896.0	$11,732.0	$14,981.0	$37,745.0	$18,361.0	$20,317.0	$21,725.0	$23,937.7	$84,340.7	$26,070.9	$28,874.8	$32,175.5	$36,255.1	$123,376.2
Income Taxes, Non-GAAP	$680.0	$423.0	$1,156.0	$1,712.0	$2,142.0	$5,433.0	$3,123.0	$3,365.0	$3,693.3	$4,069.4	$14,250.7	$4,432.0	$4,908.7	$5,469.8	$6,163.4	$20,974.0
% Tax Rate (non-GAAP)	*7.5%*	*13.5%*	*14.6%*	*14.6%*	*14.3%*	*14.4%*	*17.0%*	*16.6%*	*17.0%*	*17.0%*	*16.9%*	*17.0%*	*17.0%*	*17.0%*	*17.0%*	*17.0%*
Net Income (Non-GAAP)	**$8,366.0**	**$2,713.0**	**$6,740.0**	**$10,020.0**	**$12,839.0**	**$32,312.0**	**$15,238.0**	**$16,952.0**	**$18,031.8**	**$19,868.3**	**$70,090.0**	**$21,638.8**	**$23,966.1**	**$26,705.7**	**$30,091.7**	**$102,402.3**
% of revenue	*31.0%*	*37.7%*	*49.9%*	*55.3%*	*58.1%*	*53.0%*	*58.5%*	*56.4%*	*55.5%*	*54.1%*	*55.9%*	*54.4%*	*54.9%*	*55.7%*	*56.5%*	*55.5%*
Diluted Shares (Non-GAAP)	25,073	24,900	24,990	24,940	24,900	24,933	24,890	24,848	24,868	24,888	24,874	24,908	24,928	24,948	24,968	24,938
Non-GAAP EPS (ex-SBC)	**$0.33**	**$0.11**	**$0.27**	**$0.40**	**$0.52**	**$1.30**	**$0.61**	**$0.68**	**$0.73**	**$0.80**	**$2.82**	**$0.87**	**$0.96**	**$1.07**	**$1.21**	**$4.11**
q/q		*24.1%*	*147.5%*	*49.0%*	*28.3%*		*18.7%*	*11.4%*	*6.3%*	*10.1%*		*8.8%*	*10.7%*	*11.3%*	*12.6%*	
y/y	*-25.0%*	*-19.7%*	*424.8%*	*589.6%*	*487.5%*	*289.0%*	*461.9%*	*153.0%*	*80.5%*	*54.8%*	*117.4%*	*41.9%*	*40.9%*	*47.6%*	*51.0%*	*45.7%*

Source: Company Filings, Wolfe Research

NVDA Segments

3-months ending ($ in mm)	Jan-23 FY23E	Apr-23 F1Q24A	Jul-23 F2Q24A	Oct-23 F3Q24A	Jan-24 F4Q24A	Jan-24 FY24A	Apr-24 F1Q25A	Jul-24 F2Q25A	Oct-24 F3Q25E	Jan-25 F4Q25E	Jan-25 FY25E	Apr-25 F1Q26E	Jul-25 F2Q26E	Oct-25 F3Q26E	Jan-26 F4Q26E	Jan-26 FY26E
Gaming	$9,067	$2,240	$2,486	$2,856	$2,865	$10,446	$2,647	$2,880	$3,118	$3,054	$11,699	$2,802	$3,083	$3,352	$3,278	$12,514.9
Automotive	$903	$296	$253	$261	$281	$1,091	$329	$346	$349	$365	$1,390	$395	$415	$419	$438	$1,667.5
Professional Visualization	$1,544	$295	$379	$416	$463	$1,553	$427	$454	$499	$509	$1,890	$470	$499	$549	$560	$2,078.5
Datacenter	$15,005	$4,284	$10,323	$14,514	$18,404	$47,525	$22,563	$26,272	$28,455	$32,724	$110,014	$35,996	$39,596	$43,555	$48,875	$168,021.9
NVIDIA	*$11,886*	*$3,357*	*$8,612*	*$11,862*	*$15,073*	*$38,904*	*$19,392*	*$22,604*	*$24,480*	*$28,152*	*$94,628*	*$30,967*	*$34,064*	*$37,471*	*$42,061*	*$144,562.6*
Mellanox	*$3,120*	*$927*	*$1,711*	*$2,652*	*$3,331*	*$8,621*	*$3,171*	*$3,668*	*$3,975*	*$4,571*	*$15,386*	*$5,029*	*$5,531*	*$6,085*	*$6,815*	*$23,459.2*
OEM	$455	$77	$66	$73	$90	$306	$78	$88	$78	$78	$322	$78	$78	$78	$78	$312.0
Total	**$26,974**	**$7,192**	**$13,507**	**$18,120**	**$22,103**	**$60,922**	**$26,044**	**$30,040**	**$32,500**	**$36,730**	**$125,314**	**$39,741**	**$43,671**	**$47,953**	**$53,230**	**$184,594.7**

q/q		Apr-23	Jul-23	Oct-23	Jan-24		Apr-24	Jul-24	Oct-24	Jan-25		Apr-25	Jul-25	Oct-25	Jan-26	
Gaming		22.3%	11.0%	14.9%	0.3%		-7.6%	8.8%	8.3%	-2.1%		-8.2%	10.0%	8.7%	-2.2%	
Automotive		0.7%	-14.5%	3.2%	7.7%		17.1%	5.2%	1.0%	4.6%		8.1%	5.2%	1.0%	4.6%	
Professional Visualization		30.5%	28.5%	9.8%	11.3%		-7.8%	6.3%	10.0%	2.0%		-7.8%	6.3%	10.0%	2.0%	
Datacenter		18.5%	141.0%	40.6%	26.8%		22.6%	16.4%	8.3%	15.0%		10.0%	10.0%	10.0%	12.2%	
NVIDIA		*15.8%*	*156.5%*	*37.7%*	*27.1%*		*28.7%*	*16.6%*	*8.3%*	*15.0%*		*10.0%*	*10.0%*	*10.0%*	*12.3%*	
Mellanox		*28.8%*	*84.6%*	*55.0%*	*25.6%*		*-4.8%*	*15.7%*	*8.4%*	*15.0%*		*10.0%*	*10.0%*	*10.0%*	*12.0%*	
OEM		-8.3%	-14.3%	10.6%	23.3%		-13.3%	12.8%	-11.4%	0.0%		0.0%	0.0%	0.0%	0.0%	
Total		**18.9%**	**87.8%**	**34.2%**	**22.0%**		**17.8%**	**15.3%**	**8.2%**	**13.0%**		**8.2%**	**9.9%**	**9.8%**	**11.0%**	

y/y	Jan-23	Apr-23	Jul-23	Oct-23	Jan-24	Jan-24	Apr-24	Jul-24	Oct-24	Jan-25	Jan-25	Apr-25	Jul-25	Oct-25	Jan-26	Jan-26
Gaming	-27.2%	-38.1%	21.7%	81.4%	56.5%	15.2%	18.2%	15.8%	9.2%	6.6%	12.0%	5.9%	7.0%	7.5%	7.3%	7.0%
Automotive	59.5%	114.5%	15.0%	4.0%	-4.4%	20.8%	11.1%	36.8%	33.8%	30.0%	27.4%	20.0%	20.0%	20.0%	20.0%	20.0%
Professional Visualization	-26.9%	-52.6%	-23.6%	108.0%	104.9%	0.6%	44.7%	19.8%	20.0%	10.0%	21.7%	10.0%	10.0%	10.0%	10.0%	10.0%
Datacenter	41.4%	14.2%	171.2%	278.7%	409.0%	216.7%	426.7%	154.5%	96.1%	77.8%	131.5%	59.5%	50.7%	53.1%	49.4%	52.7%
NVIDIA	*46.4%*	*13.8%*	*186.5%*	*291.5%*	*419.8%*	*227.3%*	*477.7%*	*162.5%*	*106.4%*	*86.8%*	*143.2%*	*59.7%*	*50.7%*	*53.1%*	*49.4%*	*52.8%*
Mellanox	*25.0%*	*15.9%*	*113.9%*	*231.5%*	*362.6%*	*176.3%*	*242.1%*	*114.4%*	*49.9%*	*37.2%*	*78.5%*	*58.6%*	*50.8%*	*53.1%*	*49.1%*	*52.5%*
OEM	-60.8%	-51.3%	-52.9%	0.0%	7.1%	-32.7%	1.3%	33.3%	6.8%	-13.3%	5.2%	0.0%	-11.4%	0.0%	0.0%	-3.1%
Total	**0.2%**	**-13.2%**	**101.5%**	**205.5%**	**265.3%**	**125.9%**	**262.1%**	**122.4%**	**79.4%**	**66.2%**	**105.7%**	**52.6%**	**45.4%**	**47.5%**	**44.9%**	**47.3%**

% of total	Jan-23	Apr-23	Jul-23	Oct-23	Jan-24	Jan-24	Apr-24	Jul-24	Oct-24	Jan-25	Jan-25	Apr-25	Jul-25	Oct-25	Jan-26	Jan-26
Gaming	34%	31.1%	18.4%	15.8%	13.0%	17%	10.2%	9.6%	9.6%	8.3%	9%	7.1%	7.1%	7.0%	6.2%	7%
Automotive	3%	4.1%	1.9%	1.4%	1.3%	2%	1.3%	1.2%	1.1%	1.0%	1%	1.0%	1.0%	0.9%	0.8%	1%
Professional Visualization	6%	4.1%	2.8%	2.3%	2.1%	3%	1.6%	1.5%	1.5%	1.4%	2%	1.2%	1.1%	1.1%	1.1%	1%
Datacenter	56%	59.6%	76.4%	80.1%	83.3%	78%	86.6%	87.5%	87.6%	89.1%	88%	90.6%	90.7%	90.8%	91.8%	91%
NVIDIA	*44%*	*46.7%*	*63.8%*	*65.5%*	*68.2%*	*64%*	*74.5%*	*75.2%*	*75.3%*	*76.6%*	*76%*	*77.9%*	*78.0%*	*78.1%*	*79.0%*	*78%*
Mellanox	*12%*	*12.9%*	*12.7%*	*14.6%*	*15.1%*	*14%*	*12.2%*	*12.2%*	*12.2%*	*12.4%*	*12%*	*12.7%*	*12.7%*	*12.7%*	*12.8%*	*13%*
OEM	2%	1.1%	0.5%	0.4%	0.4%	1%	0.3%	0.3%	0.2%	0.2%	0%	0.2%	0.2%	0.2%	0.1%	0%
Total	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**

Source: Company Filings, Wolfe Research

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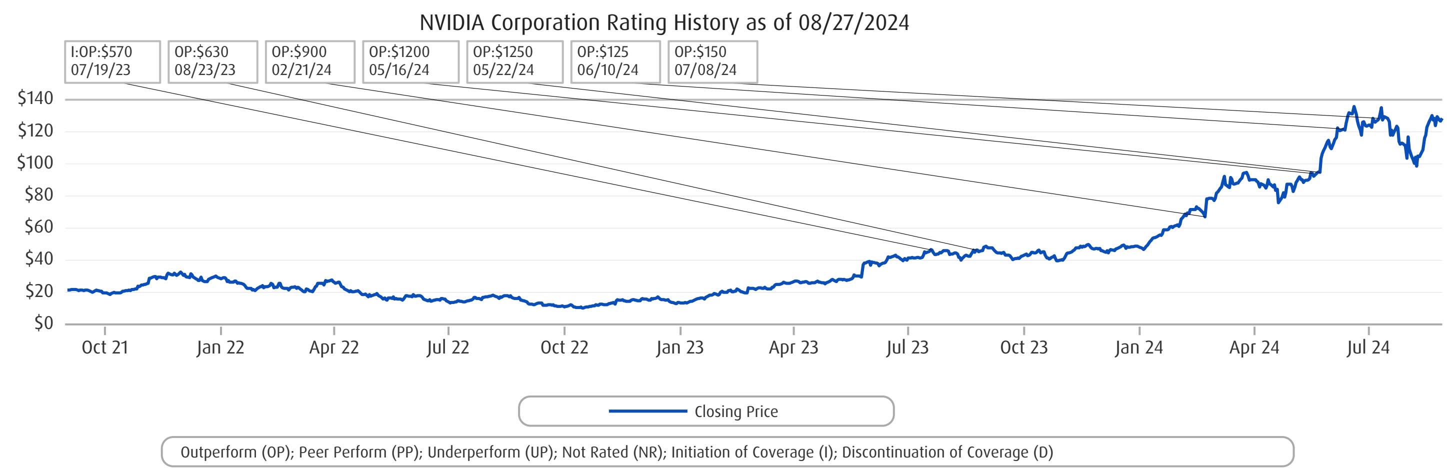

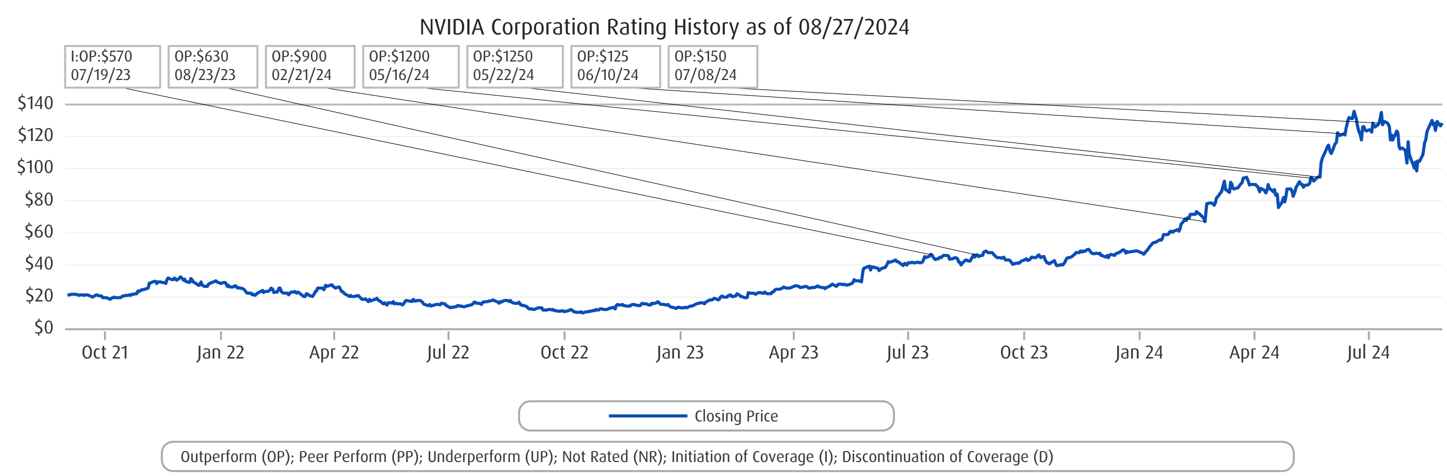

Wolfe Research, LLC Fundamental Valuation Methodology:

Company:	Fundamental Valuation Methodology:
NVIDIA Corporation	Our $150 price target is based on 36.5x our CY25 EPS of $4.11, largely inline with NVDA's ~37x avg multiple over the past five years.

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Company:	Risks That May Impede Achievement of the Recommendation, Rating or Target Price:
NVIDIA Corporation	Risks include internally developed silicon at hyperscalers, increased competition from AMD's merchant offering and potential for additional restrictions on sales into China.
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